

Japan Multi-Asset

The new pricing era: Pass-throughs fueling Japan's virtuous cycle



CITI'S TAKE

Japanese firms are experiencing growing cost pressure as the Middle East situation pushes up oil prices. In today's Japan, however, where a virtuous cycle of wages and prices is increasingly taking hold, companies have become much more proactive on price pass-throughs than during past energy shocks, fueling a shift to a dynamic in which rising costs boost nominal growth. This report contains a multifaceted discussion of 1) the impact this price pass-through trend is having on Japanese inflation, monetary policy, and corporate earnings, and 2) the approach of each sector to price pass-throughs and stocks to watch.

Japan Economics: proactive price pass-throughs boost inflation — The rise in oil prices caused by the deterioration in the Middle East situation prompted us to raise our 2026 core CPI forecast to 2.1%. Although core CPI is set to remain below 2% for now because of subsidies and other factors, we think it may rise temporarily to over 3% early next year as a result of the ripple effects of rising energy prices and of companies' aggressive price pass-throughs. In recent years, Japanese companies have been increasingly proactive in passing higher costs on in selling prices, supported by a virtuous cycle wages and prices fueled by solid wage hikes in spring wage negotiations. We believe this structural change points to a shift from temporary cost-push inflation to sustained inflation. As this more proactive stance on price pass-throughs could pose a hawkish risk to the market, we continue to assume the BoJ will hike rates in June and December 2026 and June 2027.

Japan Equity Strategy: firms to post double-digit profit growth as they hike prices to beat higher costs — We think the rise in Middle East tensions and oil prices could cause import prices to increase c30% YoY and expect the cost pressure on Japanese firms to build further going forward. Given how price hikes have taken hold in recent years, though, we believe corporate and consumer prices are increasingly sensitive to import prices and that higher costs will generally be passed smoothly through to prices. Price pass-throughs boost profits via both sales growth and margin gains, and we expect them to lead to an increase in valuations via improved RoE. The excess demand indicated by negative readings for both fixed investment and employment DIs in the Tankan has also made conditions more conducive to price hikes. Indeed, initial FY26 guidance at most firms called for consensus-beating sales and confirmed companies' proactive stances on price pass-throughs, particularly in upstream sectors like chemicals and electronic components. We forecast that TOPIX EPS will post two consecutive years of double-digit growth in FY26 and FY27 and that RoE will reach the 11% level in FY27, based on the potential for smooth price pass-throughs by Japanese corporates.

Japan Equity Strategy

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Japan Equity Research: corporate appetite for price hikes generally strong but varies by sector — In 2026's period of rising costs, firms are clearly passing higher costs through to prices more aggressively than before. In the chemicals sector, price hikes have steadily permeated from upstream to midstream/downstream products, and electronic components, machinery, and electric equipment have also seen notable moves to implement or plan price hikes. While price hikes appear to be readily accepted in AI/semiconductor-related fields, uncertainty remains in other spaces over their potential negative impact, such as whether price hikes might erode demand for electronic devices (PCs, copiers, game consoles, etc.) or cause downtrading in consumer goods. In the autos sector, guidance issued by OEMs assumes price hikes only within the range of regular inflation responses, and few firms stress the need to counter tariffs or rising material costs, while tiremakers take a more proactive stance. It is hard for pharmaceutical firms to raise prices in Japan, where prices are set publicly, but telecom carriers are increasing ARPU by effectively hiking prices via the introduction of new rate plans. In IT services, there is still uncertainty over whether firms can pass along higher costs for orders already received.

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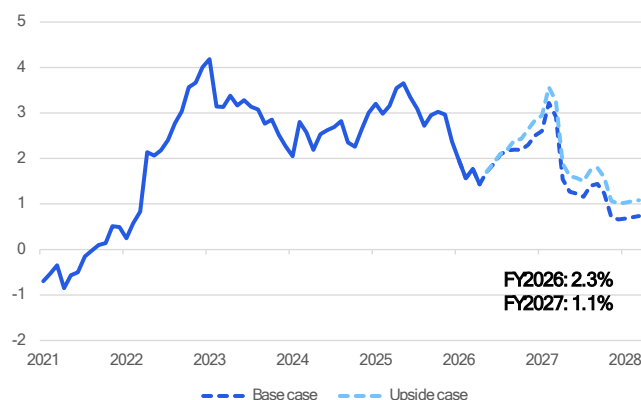
Japan Economics: Aggressive cost pass-through an upside risk for CPI

In response to crude price increases caused by the Middle East situation, we raised our 2026 core CPI forecast to 2.1% (vs. 1.7% as of February) in April. Japan's core CPI has been running below 2% in recent months because of one-off factors like utility bill subsidies and the provision of free school meals in public elementary schools. However, under Japan's fuel price adjustment system, energy prices are only fully reflected in prices after a six-month lag. We expect inflation to remain below 2% over the next few months as food inflation continues to slow and measures like gasoline subsidies contribute. Subsequently, though, we think core CPI inflation could again top 2% in summer as the impact of higher crude prices gradually comes into play, and that inflation could temporarily exceed 3% at the start of next year (Figure 1).

We note that this inflation outlook involves a high degree of uncertainty. For example, our forecast does not factor in any utility bill subsidies being implemented in winter. If the government implements subsidies again in winter, there is a strong possibility that inflation will not exceed 3%. Moreover, prices will also be influenced by a broad range of other factors, including how the Middle East situation evolves, how long it takes shipping through the Strait of Hormuz to get back to normal after the conflict ends, what happens with gasoline subsidies, and what the impact of any consumption tax cut is. Media sources, such as the June 3 Nikkei, have reported that the government is mooting reducing the consumption tax rate on food to 1% effective April 2027. Such a move could lower FY27 core CPI inflation by around 1ppt. As we factor a reduced food consumption tax into our main scenario, we estimate core CPI inflation will fall to 1.6% in 2027.

Another key factor that could influence the inflation outlook is increasingly aggressive cost pass-through efforts by Japanese companies. This would exert upward pressure on inflation, working against downward pressure from factors like government subsidies and tax cuts. Japanese companies' efforts to pass through costs in prices have clearly accelerated in recent years. This is illustrated by price DIs in the BoJ's Tankan report. The readings show that increases in input prices stemming from increased costs have been reflected in sales prices more aggressively recently than during the two most recent periods of energy shocks: prior to the GFC in the late 2000s and the period since 2021 characterized by post-COVID economic reopening and the situation that followed the start of the Russia-Ukraine conflict (Figure 2).

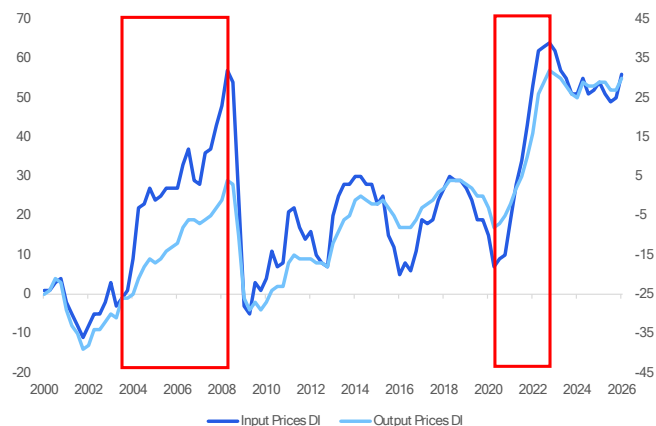
Figure 1. Core CPI forecasts (%)



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Source: Citi Research, MIAC

Figure 2. Tankan input price and sales price DIs



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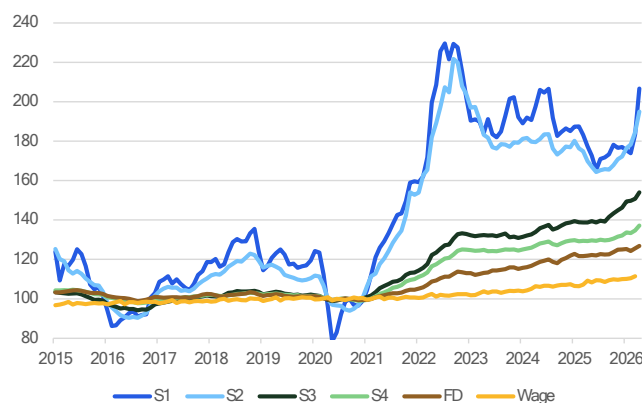
Source: Citi Research, BoJ

Moreover, looking at companies' pass-through activity as shown by FD-ID (final demand-intermediate demand) price indexes, which the BoJ started publishing in 2022, the degree of cost pass-through in the production process has increased, especially post-COVID. The FD-ID indexes are divided into four stages, from upstream (S1) to downstream (S4), with intermediate demand indexed at each stage, and a fifth stage, for final demand, which allows cost pass-through behavior to be tracked. In Figures 3 and 4 we separate the stage data into goods and services and add a wages trend line for comparison.

Looking at goods prices, through 2020, although there were price changes in the upstream S1 and S2 stages, there is virtually no passing through to the downstream S2 and S3 stages. From 2021 onward, in contrast, there are clear price increases in the downstream stages as well. Over the past few years, although the impact of government measures to mitigate energy-related costs clouds the view to some extent, it is evident that downstream stage price increases in response to upstream stage price increases have been more pronounced than in the past across a broad range of sectors, including food, basic materials, metals, machinery, and transportation equipment. The current increases in energy/import prices stemming from the Middle East shock likewise look more likely to be passed through than in the past. This will likely have a knock-on effect on consumer goods prices.

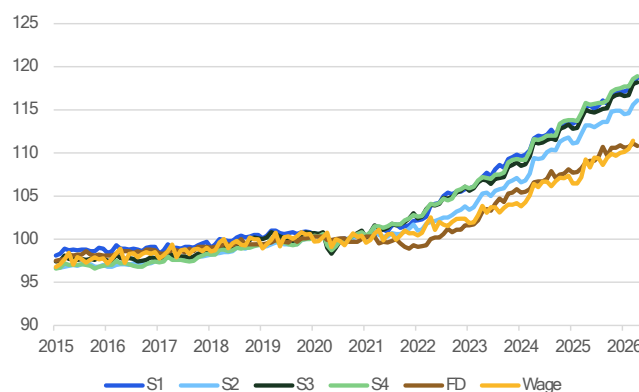
There has also been a clear shift in the trend regarding services prices since 2021. Unlike goods prices, services prices have been growing at around the same pace as wages. If we assume that wages will keep on rising amid labor shortages, service prices also look likely to keep rising steadily in line with the growth in wages.

Figure 3. Final demand–intermediate demand price indices: Goods prices by stage



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Source: Citi Research, BoJ

Figure 4. Final demand–intermediate demand price indices: Services prices by stage



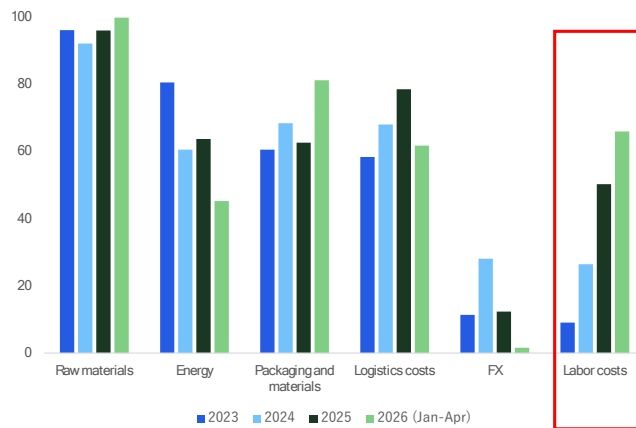
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Source: Citi Research, BoJ

One important condition supporting this aggressive cost pass-through trend is arguably the virtuous cycle linking wages and prices. BoJ Governor Kazuo Ueda noted in a recent [speech](#) that the presence or absence of a wage/price spiral was an important initial condition in analyzing the impact of a supply shock on prices. From this perspective, with this year's [spring labor negotiations](#) expected to result in wage increases of around 5% (in line with the previous two years' increases). In Japan, the mutually reinforcing mechanism between wages and prices had arguably already emerged prior to the deterioration in the situation in the Middle East. This implies that, even in the event of an oil price shock like the current one, the conditions are in place for companies to readily pass through costs. A breakdown of the contributors to the [CPI](#) shows that food remains the main factor in inflation. However, a survey by Teikoku Databank of price revision trends at 195 major food companies shows that, over the past few years, the proportion of cost pass-throughs stemming from personnel costs has risen more than the proportion from any other factor (Figure 5).

As our Japan Equity Strategist has [pointed out](#), aggressive cost pass-through activity has lessened the impact of deterioration in Japanese companies' margins compared to previous energy shocks. This implies that companies have avoided the need to trim personnel costs even as energy costs have risen. This is arguably an important difference that has supported the virtuous cycle between wages and prices. Conversely, if a supply shock like the current one had occurred during a period of deflation, like that of a few years ago, companies would have been unable to pass on the higher costs and would have had to absorb them internally, which would have inevitably led to stagnant wages.

Looking at recent trends in corporate price forecasts, in 2022, following the COVID pandemic, it is short-term (one-year forward) price increase forecasts that stood out. This time, it is the medium-to-long-term outlooks (3 and 5 years) that are rising (Figure 6). This could mean that the inflationary environment firms are experiencing at present has shifted to one of structural/sustained inflation rather than temporary cost-push inflation. We cannot rule out the possibility that prices will be affected by a more aggressive and sustained cost pass-through trend than seen in the past, resulting in consumer prices rises outpacing expectations. Our upside scenario incorporates the possibility that core CPI will rise above 3.5% at the start of next year (Figure 1).

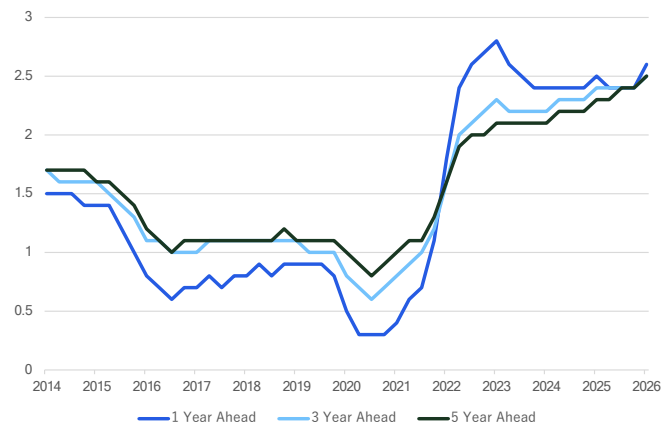
Figure 5. Ratio of cost increases passed through via higher prices by type at 195 major food companies (%)



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Source: Citi Research, TDB

Figure 6. Corporate goods price outlook (YoY % change)



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Source: Citi Research, BoJ

If aggressive cost pass-throughs help mitigate the impact of deteriorating corporate margins, it would look more likely that next year's *shunto* spring labor negotiations will yield solid results in line with those of the past few years. Accordingly, increasingly aggressive pass-through activity by companies is a positive development for the BoJ, which is aiming to attain its 2% price stability target while allowing for wage growth. The market could see it as implying a risk of a shift to a more hawkish monetary policy stance. In its Outlook Report following April's monetary policy meeting the BoJ significantly raised its inflation outlook, citing more aggressive corporate pricing moves as an upside price risk factor. If the BoJ hikes rates this month, bringing the policy rate to 1%, it would bring the rate to the lower bound of the central bank's estimated neutral rate range. Despite facing pressure from the government, which has a reflationary stance, we would expect the pace of subsequent rate hikes to be once every six months given the risks of higher-than-expected price increases. We continue to assume rate hikes in June and December 2026 and in June 2027.

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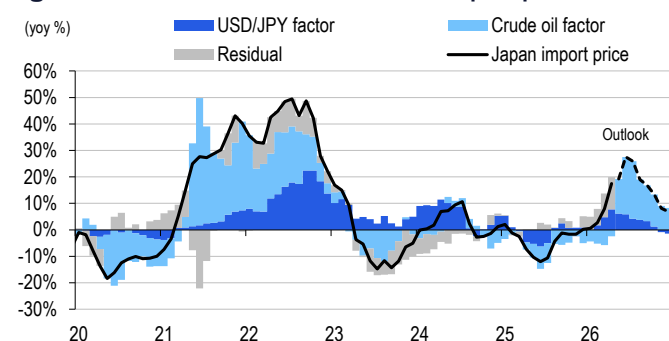
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Japan Equity Strategy: Japanese firms can hit double-digit profit growth on aggressive cost pass-throughs

Success or failure of pass-throughs hold the Japan equity key

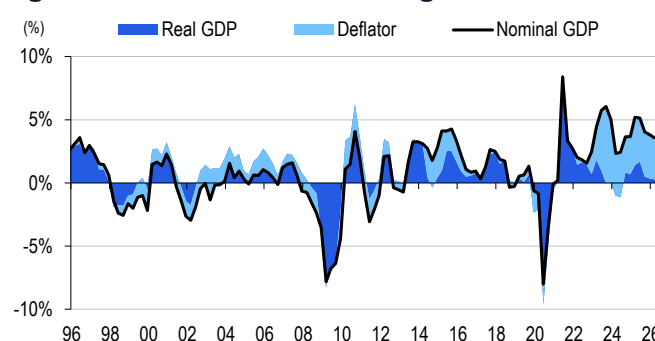
Cost pressure in Japan looks likely to increase due to disruption from the Middle East situation and rising crude oil prices. Japanese import prices, which are strongly correlated with movements in crude oil prices and dollar/yen, could rise by around 30% YoY (Figure 7). In addition to energy prices, Japanese companies' costs are also being pushed up by global memory price increases and general increases in personnel costs. We believe the question of how smoothly Japanese companies can pass through costs in prices is key to forecasting overall equity trends, for the reasons detailed below.

Figure 7. Breakdown of and outlook for import prices



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Source: Citi Research, Bloomberg

Figure 8. Breakdown of nominal GDP growth

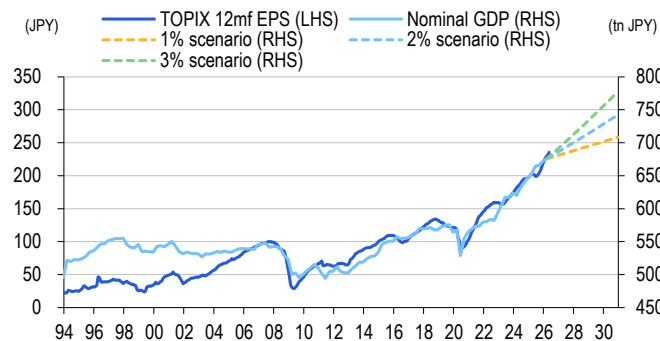


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Why cost pass-through is so important for Japanese stocks

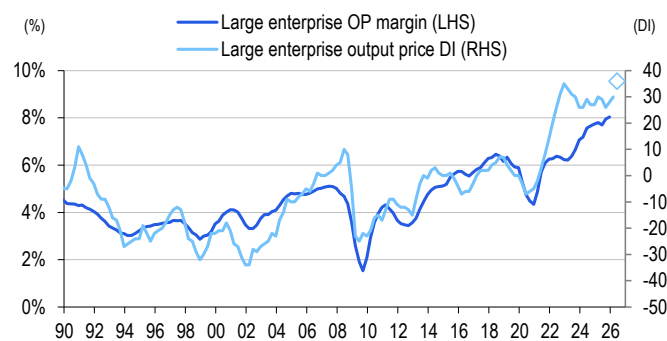
First, smooth cost pass-throughs can help improve corporate earnings through increased sales. Looking at the individual company level, there are plenty of cases where price hikes may not lead to higher sales due to falling volumes and cases where companies do not raise prices sufficiently due to concern over lower demand. Taking a top-down perspective, however, we can see that, as cost-driven increases in inflation have accelerated nominal GDP growth since 2022, overall TOPIX EPS has improved in step with nominal GDP (Figures 8 and 9). Second, it is likely that price increases will lead to margin improvement, at least after a time lag. Looking back at the phase of cost growth from 2022 onward, it is evident that Japanese companies' margins improved overall, in line with an increase in the number of firms raising prices (Figure 10). Cost pass-throughs can be expected to contribute to profit improvement by way of both increased sales and improved margins. The third reason we would highlight for the importance of cost pass-throughs is that improvements in profit margins due to price hikes can bring about improvement in RoE, which can push up Japanese equity valuations. Narrow margins are a major reason why RoE at Japanese firms lags those of their European and American counterparts (Figures 11 and 12). If margins improve and lead to RoE improvement, then a corresponding improvement in PBRs and PERs could be justified (Figure 13).

Figure 9. TOPIX 12mf EPS and nominal GDP



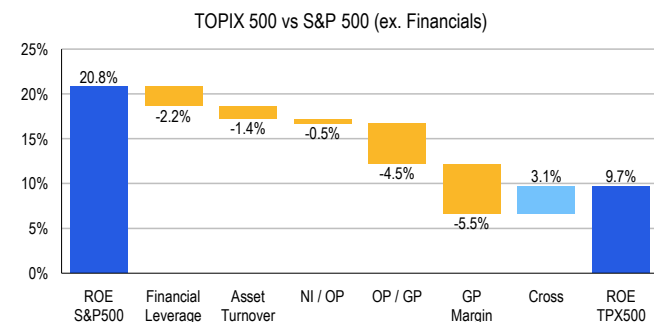
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 Source: Citi Research, DataStream, Bloomberg

Figure 10. Large enterprises: OPM and output prices



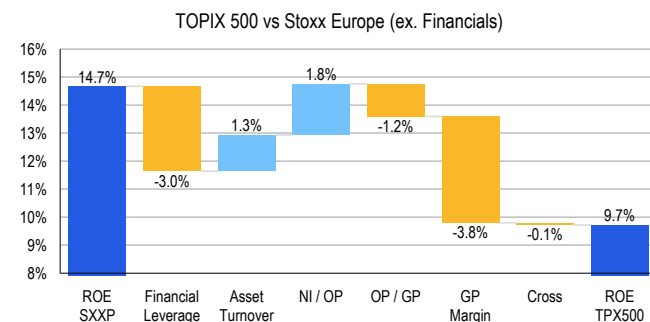
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Figure 11. RoE DuPont analysis (US vs Japan)



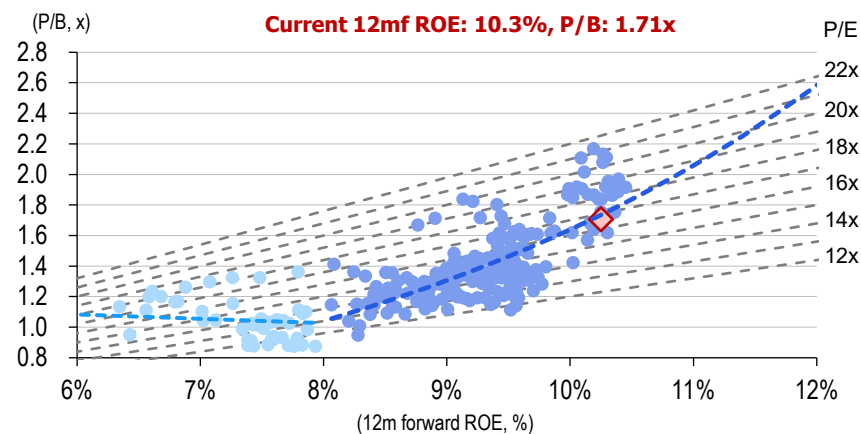
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Figure 12. RoE DuPont analysis (Europe vs Japan)



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Figure 13. TOPIX PBR and ROE



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Japanese companies could be capable of continuing to smoothly pass through costs

From an overall perspective, we think it likely Japanese companies will be able to smoothly pass through the anticipated levels of cost increases. Much of the initial FY27 company profit guidance issued at FY26 results releases was below consensus forecasts, as we had seen in the past. However, the majority of companies disclosed above-consensus sales guidance (Figure 14). This suggests that most companies are planning price increases. Analysis by different sector analysts also shows that in general companies, especially in upstream sectors like chemicals and electronic components, are actively pursuing cost pass-through or view it positively (for details, please refer to the summary table on p15 of this report or to the individual sector analysts' sections from p16 onward). From a top-down perspective, it is evident that the sensitivity of corporate prices and consumer prices to import prices has increased in recent years (Figure 15). This can be interpreted as directly showing that companies are increasingly prepared to pass on cost increases in final product prices. It is also important to note that the macroeconomic climate is conducive to price hikes. The production capacity and employment DIs in the BoJ's Tankan report are both negative, suggesting that Japan's economy lacks capacity and manpower. This in turn implies that companies do not have the supply capacity to meet latent demand. In macroeconomic terms, then, price increases can be readily justified because the supply/demand balance is tipped toward excess demand (Figure 16). In fact, it is evident that industries where the degree of excess demand is believed to be higher have been able to secure improved margins through price hikes (Figure 17). We forecast that TOPIX EPS will attain double-digit (%) growth in both FY26 and FY27 and that FY27 RoE will exceed 11%. These forecasts are premised on Japanese companies being able to smoothly pass through costs (Figure 18).

Figure 14. FY3/27 corporate guidance – beats and misses vs prior consensus

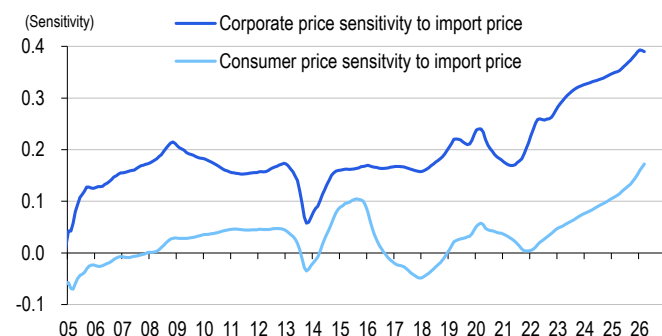
	Guidance		Revenue		OP		RP		Net Income		Dividend		Dividend guidance		
	Disc.	Undisc.	Beat	Miss	Beat	Miss	Beat	Miss	Beat	Miss	Beat	Miss	Hike	Flat	Cut
TOPIX	97%	3%	62%	38%	35%	65%	30%	70%	40%	60%	47%	53%	55%	28%	17%
Foods	96%	4%	54%	46%	44%	56%	32%	68%	43%	57%	34%	66%	43%	37%	20%
Energy Resources	100%	0%	0%	100%	25%	75%	25%	75%	20%	80%	20%	80%	20%	40%	40%
Construction & Materials	100%	0%	65%	35%	43%	57%	37%	63%	45%	55%	57%	43%	62%	22%	17%
Raw Material & Chemicals	94%	6%	56%	44%	29%	71%	24%	76%	35%	65%	51%	49%	53%	32%	15%
Pharmaceutical	100%	0%	60%	40%	35%	65%	29%	71%	40%	60%	47%	53%	63%	32%	5%
Auto & Transport Equipment	100%	0%	54%	46%	26%	74%	13%	87%	32%	68%	37%	63%	54%	29%	17%
Steel & Nonferrous Metals	98%	3%	67%	33%	33%	67%	41%	59%	33%	67%	42%	58%	29%	17%	54%
Machinery	98%	2%	61%	39%	31%	69%	29%	71%	41%	59%	48%	52%	59%	28%	14%
Electric & Precision	98%	2%	59%	41%	42%	58%	38%	62%	45%	55%	52%	48%	53%	31%	15%
IT & Services / Others	98%	2%	62%	38%	32%	68%	28%	72%	34%	66%	44%	56%	61%	25%	14%
Electric Power & Gas	95%	5%	69%	31%	38%	62%	33%	67%	62%	38%	29%	71%	53%	41%	6%
Transportation & Logistics	100%	0%	67%	33%	27%	73%	15%	85%	43%	57%	39%	61%	51%	34%	15%
Wholesale Trade	100%	0%	65%	35%	30%	70%	25%	75%	34%	66%	44%	56%	56%	24%	20%
Retail Trade	96%	4%	69%	31%	41%	59%	23%	77%	37%	63%	40%	60%	48%	34%	18%
Banks	100%	0%	67%	33%	-	-	79%	21%	62%	38%	73%	27%	70%	13%	17%
Financials (ex. Banks)	84%	16%	53%	47%	50%	50%	27%	73%	33%	67%	48%	52%	56%	37%	7%
Real Estate	100%	0%	80%	20%	38%	62%	24%	76%	38%	62%	43%	57%	62%	14%	24%
TOPIX	97%	3%	62%	38%	35%	65%	30%	70%	40%	60%	47%	53%	55%	28%	17%
Ex. Financials	98%	2%	62%	38%	35%	65%	29%	71%	39%	61%	45%	55%	55%	28%	17%
EX. Financials, Electric power & gas	98%	2%	62%	38%	35%	65%	28%	72%	39%	61%	46%	54%	55%	28%	17%
Manufacturing	97%	3%	59%	41%	35%	65%	30%	70%	40%	60%	48%	52%	54%	29%	17%
Non-manufacturing	97%	3%	64%	36%	36%	64%	30%	70%	40%	60%	45%	55%	56%	27%	16%
Ex. Electric power & gas	97%	3%	64%	36%	36%	64%	30%	70%	39%	61%	46%	54%	57%	27%	17%
Foreign demand	98%	2%	59%	41%	35%	65%	30%	70%	40%	60%	48%	52%	54%	27%	19%
Domestic demand	97%	3%	64%	36%	35%	65%	30%	70%	40%	60%	45%	55%	56%	29%	15%

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Note: Universe is TOPIX companies with February or March year-ends.

Source: Citi Research, Nikkei QUICK

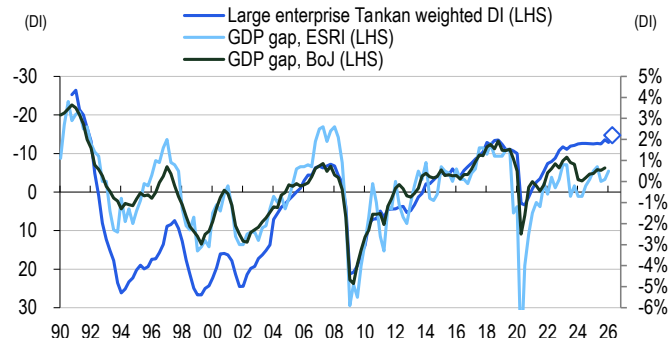
Figure 15. Sensitivity of corporate and consumer prices to import prices



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Source: Citi Research, Bloomberg

Figure 16. GDP gap and BoJ Tankan weighted DI

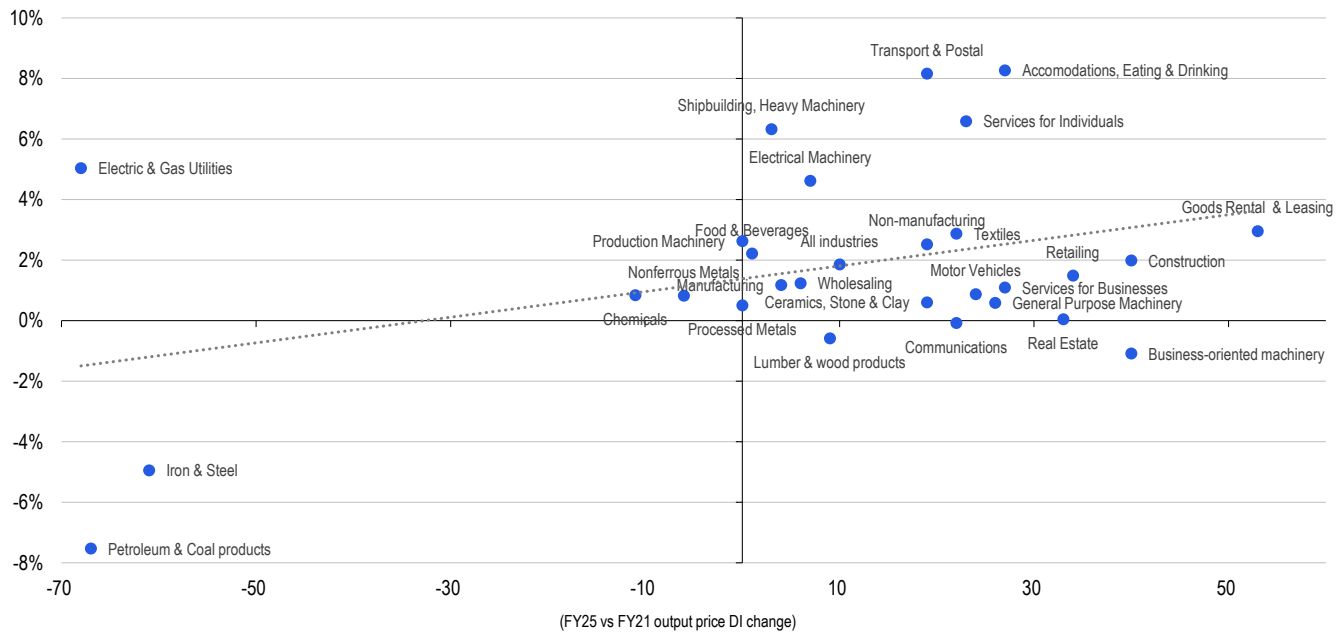


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Source: Citi Research, BoJ, MoF, Bloomberg

Figure 17. Change in output price DI and RP margin (FY25 vs FY21)

(FY25 vs FY21 RP margin change, %pt)



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Source: Citi Research, MoF, Bloomberg

Figure 18. Citi TOPIX EPS outlook

	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
	24/03	25/03	26/03	27/03	28/03	29/03
<i>Citi Base case scenario</i>						
EPS (JPY)	170.5	188.9	209.8	234.9	261.4	291.6
yoy (%)	17.8%	10.8%	11.0%	12.0%	11.3%	11.5%
ROE (%)	9.2%	9.4%	9.8%	10.3%	11.0%	11.6%
<i>Bottom-up consensus</i>						
EPS (JPY)	170.5	188.9	209.8	230.6	257.2	282.2
yoy (%)	17.8%	10.8%	11.0%	9.9%	11.6%	9.7%
ROE (%)	9.2%	9.4%	9.8%	10.1%	10.8%	11.2%
<i>Persistently high commodity price (No-recession)</i>						
EPS (JPY)	170.5	188.9	209.8	225.7	243.3	263.7
yoy (%)	17.8%	10.8%	11.0%	7.6%	7.8%	8.4%
ROE (%)	9.2%	9.4%	9.8%	9.9%	10.2%	10.5%
<i>Persistently high commodity price (Global recession)</i>						
EPS (JPY)	170.5	188.9	209.8	193.3	209.7	228.0
yoy (%)	17.8%	10.8%	11.0%	-7.8%	8.5%	8.7%
ROE (%)	9.2%	9.4%	9.8%	8.5%	8.9%	9.3%
<i>Core assumptions (Base scenario)</i>						
<i>Fundamental assumptions</i>						
Dividend	34.3%	36.6%	37.7%	38.3%	38.9%	39.4%
Buyback	17.3%	26.6%	27.7%	28.3%	28.9%	29.4%
Total Payout	51.6%	63.2%	65.5%	66.6%	67.7%	68.9%
<i>Macro assumptions</i>						
Japan Real GDP				0.7%	1.0%	0.8%
Japan CPI				2.0%	2.1%	2.0%
Global Real GDP				2.6%	2.8%	2.8%
Global CPI				3.5%	2.7%	2.6%

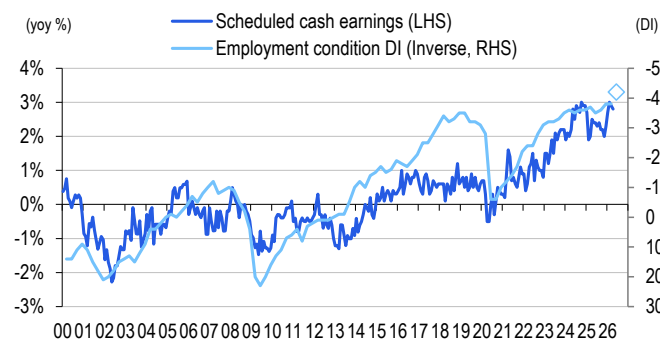
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Source: Citi Research, Nikkei QUICK, DataStream, Bloomberg

Limited risk of a downturn in personal consumption

Some believe that if the inflation rate rises as price hikes are passed on, it could become a factor in a downturn in personal consumption and the economy through a fall in real wages. However, we think it highly likely that the negative impact on personal consumption and the economy as a whole will be limited considering that 1) Japan's nominal wages (scheduled cash earnings basis) are likely to continue to trend high, at around +2.5% to +3% YoY, due to labor market tightness (Figure 19), 2) Citi's core CPI outlook suggests real wages are set to decline YoY only temporarily from the end of 2026 to the beginning of 2027 (Figure 20), and 3) real wages should turn positive if the consumption tax on food is reduced from April 2027. The sensitivity of personal consumption to real income is generally low at around 0.3, and in fact, a significant drop in personal consumption has not been confirmed even in recent phases of negative real wages.

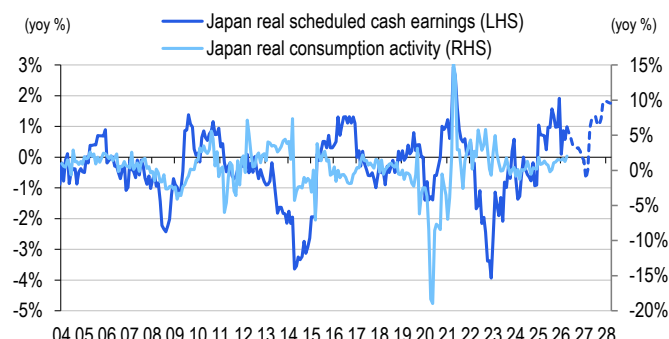
Figure 19. Scheduled cash earnings and employment condition DI



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Source: Citi Research, Bloomberg

Figure 20. Real cash earnings and real consumption activity



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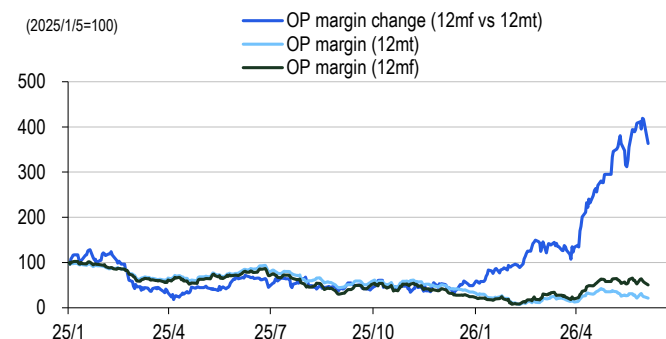
Scheduled earnings are adjusted using core CPI. Dotted line is calculated using a 2.5% yoy growth in scheduled earnings and Citi's core CPI forecast.

Source: Citi Research, Bloomberg

Success of cost pass-throughs has an impact on returns

In the Japanese stock market, changes in profit margins and RoE tend to be more effective factors than the absolute levels. Recently, there has been a particularly pronounced divergence between the factor returns of the OPM level and of changes in the OPM (Figures 21 and 22). If this tendency persists, it is likely that the relative success of companies' efforts to pass through cost increases during the current phase of rising costs will translate into differences in stock returns. In Figure 23 we list names for which we expect profit margin and RoE improvements. Ultimately, though, a more accurate analysis of individual companies' pass-through efforts requires the insight of sector analysts. Accordingly, from p16 on we present our sector analysts' assessments of the cost pass-through approaches of the companies they cover, progress in price negotiations, and the positive/negative implications.

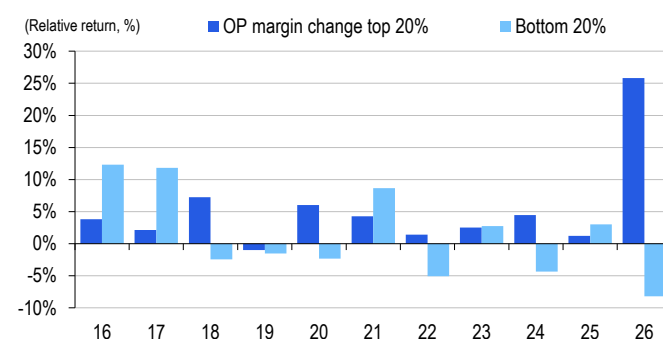
Figure 21. OP margin factors



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Source: Citi Research, Bloomberg

Figure 22. Performance of top/bottom 20% of stocks based on OP margin change



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Source: Citi Research, Nikkei QUICK, Bloomberg

Figure 23. Screening based on change in FY26 OP margin and RoE

2026-06-08				Market cap (bn JPY)	return vs TOPIX			FY26 Consensus			FY26E vs FY25A		P/B
Code	Company name	Sector	FY		1m	3m	6m	OP yoy	ROE	P/E	OP margin	Return on equity	
1605	INPEX	Mining	26/12	4,640	-4.5	-14.6	-0.4	18.8	8.2	10.0	2.2%	1.1%	0.9
1662	JAPAN PETROLEUM EXPLORATION	Mining	27/03	445	-20.1	-31.7	7.3	59.8	9.2	6.0	4.0%	2.2%	0.7
2206	EZAKI GLICO	Foods	26/12	361	-4.3	-15.1	-14.9	54.5	1.8	35.9	1.1%	1.8%	1.2
2503	KIRIN HOLDINGS	Foods	26/12	2,128	5.2	-1.6	-2.0	14.3	12.0	12.1	1.0%	1.0%	1.6
2607	FUJII OIL	Foods	27/03	321	18.4	9.9	-2.7	41.8	5.0	13.0	1.5%	5.2%	1.3
268A	RIGAKU HOLDINGS	Prec. Inst.	26/12	688	-21.1	24.4	103.3	21.2	13.4	48.9	1.7%	2.1%	7.9
285A	KIOXIA HOLDINGS	Elec. App.	27/03	42,691	61.0	256.2	594.3	663.8	51.9	9.1	38.0%	111.5%	30.5
3116	TOYOTA BOSHOKU	Trans.Equip.	27/03	420	-4.3	-28.0	-22.9	46.3	5.0	8.5	1.2%	5.1%	0.8
3397	TORIDOLL HOLDINGS	Retail Trade	27/03	326	-5.4	-14.9	-27.0	65.4	2.6	42.8	2.3%	5.5%	3.5
3402	TORAY INDUSTRIES	Text&Apparel	27/03	1,687	-3.7	-13.1	-2.9	62.2	4.5	17.2	1.9%	1.0%	0.9
3563	FOOD & LIFE COMPANIES	Retail Trade	26/09	1,148	-6.1	1.5	12.4	36.5	26.3	37.1	1.2%	2.3%	9.8
3659	NEXON	Inf.&Com.	26/12	1,784	-17.1	-30.3	-54.8	14.1	8.9	15.7	1.3%	2.0%	1.7
4004	RESONAC HOLDINGS	Chemicals	26/12	3,202	-0.8	27.4	145.8	190.6	4.3	32.5	6.3%	9.2%	4.4
4005	SUMITOMO CHEMICAL	Chemicals	27/03	968	11.6	8.7	10.0	28.8	6.4	11.9	1.6%	1.8%	1.0
4063	SHIN-ETSU CHEMICAL	Chemicals	27/03	14,590	-8.8	6.2	28.9	21.0	10.4	25.4	2.6%	2.4%	3.1
4188	MITSUBISHI CHEMICAL GROUP	Chemicals	27/03	1,532	11.4	-4.0	6.1	856.2	0.7	13.3	6.5%	5.6%	0.8
4307	NOMURA RESEARCH INSTITUTE	Inf.&Com.	27/03	2,838	7.4	3.4	-37.8	206.3	3.5	23.1	13.6%	23.8%	6.3
4368	FUSO CHEMICAL	Chemicals	27/03	440	19.6	21.0	64.2	32.9	12.9	24.8	4.1%	1.0%	3.7
4519	CHUGAI PHARMACEUTICAL	Pharm.	26/12	12,684	-6.1	-25.8	-23.1	16.1	22.1	25.0	2.7%	1.7%	6.5
4523	EISAI	Pharm.	27/03	1,101	-19.2	-25.3	-32.4	72.9	4.4	18.6	3.0%	1.7%	1.2
4543	TERUMO	Prec. Inst.	27/03	3,376	15.2	7.2	-17.4	25.0	9.2	20.3	2.2%	1.1%	2.1
5016	JX ADVANCED METALS	Nonfer.Mtls	27/03	3,584	-35.4	-16.4	82.1	31.4	15.6	21.6	4.8%	8.5%	4.9
5333	NGK	Gl.&Cer.Prod	27/03	1,880	12.8	41.7	67.7	17.6	7.8	22.2	1.5%	2.6%	2.3
5344	MARUWA	Gl.&Cer.Prod	27/03	915	-2.3	6.8	28.7	42.9	13.2	35.5	6.5%	3.3%	6.2
5401	NIPPON STEEL	Iron & Steel	27/03	2,939	-6.2	-14.4	-28.0	177.2	0.3	8.8	3.8%	5.9%	0.5
5411	JFE HOLDINGS	Iron & Steel	27/03	1,032	-11.1	-24.6	-33.0	75.0	2.7	8.2	1.6%	1.6%	0.4
5991	NHK SPRING	Metal Prod.	27/03	936	32.1	34.0	36.1	30.0	6.6	20.2	1.3%	3.6%	1.9
6098	RECRUIT HOLDINGS	Services	27/03	15,601	36.9	50.0	19.0	25.1	31.0	25.2	2.6%	4.7%	9.3
6113	AMADA	Machinery	27/03	982	-4.1	10.7	36.5	19.6	5.8	26.2	1.1%	1.4%	1.8
6134	FUJII	Machinery	27/03	757	7.7	24.7	90.3	39.5	7.0	25.2	3.3%	5.2%	2.9
6136	OSG	Machinery	26/11	329	-5.0	16.1	27.6	16.3	8.3	19.5	1.2%	1.2%	1.5
6146	DISCO	Machinery	27/03	7,873	-10.6	-11.8	28.4	28.9	25.1	45.1	2.8%	2.5%	13.4
6268	NABTESCO	Machinery	26/12	611	-13.8	2.0	12.3	51.7	5.8	28.2	2.6%	2.3%	2.2
6278	UNION TOOL	Machinery	26/12	444	24.5	26.1	121.5	69.0	8.0	41.3	5.8%	4.5%	5.3
6324	HARMONIC DRIVE SYSTEMS	Machinery	27/03	683	14.3	64.4	82.9	229.7	2.0	112.5	7.7%	5.8%	8.3
6407	CKD	Machinery	27/03	425	-12.9	14.7	107.6	39.0	9.4	23.4	2.3%	2.3%	2.7
6473	JTEKT	Machinery	27/03	671	6.5	4.6	7.5	214.3	1.6	14.3	3.2%	4.9%	0.8
6503	MITSUBISHI ELECTRIC	Elec. App.	27/03	12,709	-12.9	-0.9	8.8	41.5	9.7	25.6	2.5%	1.2%	2.7
6506	YASKAWA ELECTRIC	Elec. App.	27/02	1,830	0.3	32.1	19.7	39.8	7.7	36.1	2.3%	2.6%	3.7
6525	KOKUSAI ELECTRIC	Elec. App.	27/03	1,910	-2.1	12.6	43.8	56.5	14.5	39.9	3.9%	6.4%	8.5
6526	SOCIONEXT	Elec. App.	27/03	491	10.8	30.5	-9.7	52.8	6.5	35.0	2.0%	3.4%	3.6
6622	DAIHEN	Elec. App.	27/03	403	-11.7	14.7	41.5	37.3	9.6	22.5	1.4%	2.1%	2.5
6724	SEIKO EPSON	Elec. App.	27/03	1,107	17.0	38.5	34.5	63.6	2.2	19.8	2.2%	7.1%	1.1
6752	PANASONIC HOLDINGS	Elec. App.	27/03	9,214	7.1	39.4	78.5	142.3	3.8	20.5	4.4%	4.7%	1.7
6754	ANRITSU	Elec. App.	27/03	637	0.3	41.2	69.7	29.9	9.1	43.5	1.6%	1.8%	4.5
6787	MEIKO ELECTRONICS	Elec. App.	27/03	954	0.6	31.4	176.2	48.1	16.2	36.6	1.4%	1.4%	7.1
6856	HORIBA	Elec. App.	26/12	1,095	5.0	19.7	37.7	23.0	11.2	23.4	1.9%	1.6%	3.2
6871	MICRONICS JAPAN	Elec. App.	26/12	573	-8.1	11.5	77.6	75.7	20.9	27.7	6.3%	6.1%	7.5
6954	FANUC	Elec. App.	27/03	7,512	-5.7	9.8	6.8	22.2	9.3	38.2	2.4%	1.3%	3.8
6976	TAIYO YUDEN	Elec. App.	27/03	2,064	124.2	242.6	274.2	84.8	4.5	81.1	4.0%	3.5%	5.8
6981	MURATA MANUFACTURING	Elec. App.	27/03	19,031	48.3	126.6	142.5	43.4	8.8	60.4	5.2%	2.6%	6.5
7261	MAZDA MOTOR	Trans.Equip.	27/03	713	11.7	-11.1	-14.9	152.1	1.9	7.9	1.4%	2.8%	0.4
7270	SUBARU	Trans.Equip.	27/03	1,761	5.1	-12.2	-38.2	400.3	3.3	10.3	3.1%	3.0%	0.6
7272	YAMAHA MOTOR	Trans.Equip.	26/12	1,246	8.8	2.8	-8.1	47.4	1.4	10.9	1.8%	8.4%	1.0
7729	TOKYO SEIMITSU	Prec. Inst.	27/03	757	-11.9	-0.6	39.5	22.1	13.5	25.9	1.9%	1.1%	3.8
7733	OLYMPUS	Prec. Inst.	27/03	2,055	14.5	29.3	-26.8	42.0	8.7	20.9	3.3%	3.2%	2.4
7735	SCREEN HOLDINGS	Elec. App.	27/03	2,409	2.7	9.4	58.2	29.1	20.3	20.8	1.4%	2.7%	4.9
7747	ASAHI INTECC	Prec. Inst.	26/06	1,001	12.9	10.3	9.0	43.4	8.4	32.0	5.2%	11.3%	6.0
7951	YAMAHA	Other Prod.	27/03	508	-2.0	-6.1	-11.4	28.2	5.1	17.1	1.5%	1.0%	1.0
7966	LINTEC	Other Prod.	27/03	418	4.6	2.8	13.8	17.5	6.9	19.5	1.0%	1.3%	1.5
8035	TOKYO ELECTRON	Elec. App.	27/03	27,825	4.3	28.0	52.1	48.9	29.6	38.7	3.2%	2.3%	13.2
8113	UNICHARM	Chemicals	26/12	1,685	-4.5	-8.3	-12.2	15.4	8.3	20.9	1.0%	1.7%	2.0
8591	ORIX	Oth.Fin.Bus.	27/03	6,872	15.0	16.9	27.7	21.8	10.4	10.7	1.2%	4.3%	1.5
9048	NAGOYA RAILROAD	Land Trans.	27/03	360	4.4	0.4	2.0	29.3	4.8	10.9	1.2%	2.5%	0.7
9147	NIPPON EXPRESS HOLDINGS	Land Trans.	26/12	1,254	17.1	32.7	42.4	86.9	0.3	21.4	1.7%	6.8%	1.5
9449	GMO INTERNET GROUP	Inf.&Com.	26/12	347	-1.3	5.1	-33.0	15.4	16.3	15.6	1.3%	6.6%	2.8
9468	KADOKAWA	Inf.&Com.	27/03	500	-3.7	3.8	-9.9	125.7	0.5	43.7	3.3%	4.0%	2.0
9506	TOHOKU ELECTRIC POWER	Elec.Pwr&Gas	27/03	500	-5.2	-16.2	-21.5	20.3	8.1	4.5	1.2%	1.1%	0.4
9831	YAMADA HOLDINGS	Retail Trade	27/03	633	22.4	15.9	27.6	211.4	2.3	20.2	1.9%	2.7%	0.7

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Note: Universe is TOPIX constituents where 1) market caps are over ¥300bn, 2) FY26E vs FY25A OP margin change is over 1ppt, 3) the FY26E vs FY25A RoE change is over 1ppt.

Source: Citi Research, Nikkei QUICK, Bloomberg

Japan Equity Research: Generally strong desire among companies to hike prices, but gaps between sectors

Figure 24. Summary of sector views

Sector	Pass-Through Stance	Progress	Positive implications	Negative implications
Chemicals	Aggressive – Large, rapid price hikes announced by many upstream to midstream firms; we believe downstream (semiconductor materials) firms will follow gradually.	Progressing – No strong pushbacks so far. Risk of demand pullback after the inventory correction.	Mitsubishi Gas Chemical – Methanol price surge boosts equity income; AI-related BT mix improvement. AGC – Minimal Middle East impact; semiconductor business growth story strengthening.	Housing/construction & low-end display materials – weak end-demand raises demand pullback risk.
Electronic Components	Aggressive (cost pass-throughs) – Active stances on precious metals/energy cost pass-throughs. Negative on supply-driven price hikes.	Mixed – Rohm, Hirose, Niterra, Taiyo Yuden factored in. Nichicon in negotiation. Full contributions from next FY.	Rohm – Gold-to-copper substitution to significantly reduce raw material impact from FY27. Ibiden – Server-oriented package substrate supply tightness supports price correction.	
Consumer/Industrial Electronics	Somewhat Aggressive – Tailor made (infrastructure) product hikes smooth thanks to price escalation clauses. Some commodity products face competitive constraints that make pass-throughs tough	Mixed – FA: Expecting pass-through progress moving into H2. PCs: already implemented. Memory: supply/demand-driven price rises continuing.	Kioxia HD – Memory price rise + LTA stabilizes earnings cycle. Mitsubishi Electric – Rich growth portfolio (defense, DC power, optical semiconductors). Panasonic HD – High data center exposure within sector.	Sharp – Memory cost pass-through risks demand destruction; large YoY OP decline expected in FY3/27.
Precision Equipment & SPE	Somewhat Aggressive (mixed) – Most plan to pass through cost increases. Canon negative on printing. SPE companies showing increased enthusiasm for price hikes.	Mixed – Fujifilm (silver) and Ricoh (MFP/LBP) implemented. Canon/Nikon cameras partially done in May–June. SPE effect mainly from FY3/27 onward.	Citizen – Limited DRAM cost exposure, relatively favorable. TEL – Stable customer capex; targeting +5ppt gross margin hike over the coming two years.	Hoya – Market avoiding due to passive stance on HDD substrate pricing.
Machinery	Positive (largely not priced in) – Many companies positive but few have fully reflected hikes in guidance; upside potential if pass-throughs proceed. B2B and US markets more favorable.	Mixed – Keyence implemented 10% hike in April. Komatsu/Hitachi Construction watching peers. FA sector progressing relatively smoothly.	Komatsu / Hitachi Construction – Price hikes not in guidance; upside if implemented. Semiconductor-related – Strong demand; pass-through downside risk to earnings looks relatively low.	
Auto & Auto Parts	Cautious (tires aggressive) – Automakers cautious amid insufficient tariff response. In tires, it is structurally easier to raise prices. Parts makers can pass along higher costs with a 3–6 month lag.	Difficult (tires progressing) – Automakers relying on model change timing for gradual hikes. Yokohama Rubber announced domestic price hikes.	Yokohama Rubber – Spread improvement expected as raw material prices stabilize. Honda / Yamaha Motor – Two-wheelers more amenable to price pass-through than autos, etc.	Automakers – Raw material cost surge on top of insufficient tariff response; margin pressure risks prolonged.
Pharmaceutical & Biotech	Passive (regulated pricing) – Domestic prices regulated; no pass-throughs possible. US: routine inflation adjustments only; no change in stance.	Not applicable – No meaningful cost pass-through activity. Direct cost impact also minimal.	Otsuka HD – Voyxact Q2 upward revision and data disclosure key. Chugai – Founday US prescription ramp key; large-scale potential. Takeda – New drug approval in August; new CEO's MTP coming at year-end. Santen – Upneeq ptosis drug sales trend in focus.	
Medical Equipment & Healthcare	Limited (Terumo aggressive) – Companies have built in cost buffers; potentially a positive. Terumo proactive on following the lead of global peers.	Mixed – Commodity product price hikes difficult. Terumo relatively advanced.	Asahi Intecc – Q4 next focus; MTP upward revisions hinted at. Terumo – After the restructuring of the last two years, we foresee stable growth; December MTP plan in focus.	
Food, Toiletries & Personal Care	Positive (mixed by sub-sector) – Most companies view pass-throughs as near-unavoidable and are proactively considering them. Alcohol and soft drinks more cautious given tax changes and prior hikes.	Materializing – Kikkoman announced September hikes. Coca-Cola BJ announced partial September hikes. Household product makers mainly using "effective price hikes" via new product pricing.	Ajinomoto – Stable seasoning base + functional materials benefiting from AI demand. Lifedrink – Relative price advantage becomes competitive edge; market share expansion potential.	Alcohol makers – Beer price decline expected from October 2026 tax reform; limited room for additional hikes.
Telecommunications	Effective price hike (value-added bundling) – Direct cost impact minimal. ARPU improving via value-added bundled pricing rather than outright hikes.	Progressing – Docomo (June 25), KDDI (August 25), SoftBank (July 26) all revising prices. Consumer acceptance good; no major share shifts.	SoftBank / KDDI – Domestic mobile pricing turned positive; focus on retaining existing customers with balanced revenue/profitability approach.	
Internet	Neutral – Minimal direct impact. Prices revised as needed, taking into account supply/demand and the competitive environment.	Limited / Gradual – EC: raising free-shipping thresholds. Ads: supply/demand driven. SaaS: effective price increases via value-add.	Recruit HD – Rapidly raising job ad unit prices through value enhancement.	
IT Services	Aggressive (some uncertainty) – Hardware-heavy companies (in servers, PCs, etc.) face pressure. Unclear if pass-throughs will be effected smoothly.	New orders progressing – New orders quickly reflecting hikes. Extent of existing order pass-throughs unclear. AI/DX demand supporting customer acceptance.	NRI – Low hardware revenue mix; strong AI/DX consulting demand. OBC – Server price hikes may accelerate shift from on-premise to cloud accounting.	Fujitsu, NEC, Biprogy – Higher hardware revenue exposure; pass-through smoothness uncertain.
Game & Leisure	Hardware aggressive, software cautious – Nintendo, Bandai Namco, and other hardware names implementing hikes to ensure profitability. Capcom/Konami and other software names are seeing a minimal impact and being cautious.	Hardware progressing – Switch 2: Japan ¥49,980 to ¥59,980 (from May 25); US \$449.99 to \$499.99 (from Sep 1). Demand impact in focus	Capcom / Konami Group – Software publishers with minimal parts cost exposure have the edge.	Nintendo – Demand risk from Switch 2 price hike remains uncertain.
Real Estate, Housing, Housing Equipment, J-REITs	Housing equipment aggressive, real estate limited – Housing equipment directly hit by raw material cost surge; actively passing through. Real estate/housing not in immediate pass-through mode due to the nature of their ops.	Housing equipment underway, real estate case-by-case – Lixil announced double-digit (%) hikes from August orders. Toto is yet to announce.	Daiwa House – Excessive Middle East impact buffer in guidance; actual results may beat plan.	Lixil – Guidance excludes Middle East impact; aluminum surge raises downward revision risk. Toto – ¥7bn impact reflected, but delayed price hike announcement raises concern over earnings recovery next FY.

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Source: Citi Research

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Chemicals

Price pass-through

In the chemicals sector, concerns about raw materials procurement difficulties are receding now that prospects for procuring naphtha from regions other than the Middle East are in view. Thus, the focus is now shifting to the progress of price pass-throughs and the potential for price pass-throughs to result in a decline in demand, leading to lower sales and production cuts. Companies ranging from the upstream (e.g., ethylene and other basic chemicals) to the mid-stream (e.g., plastics and other derivatives) are implementing significant and rapid price hikes. These price increases are likely to gradually spread to downstream companies (e.g., semiconductor materials).

Price hike progress

To this point, there has been no particularly strong resistance to the pass-throughs of raw materials and fuel price increases (it appears that customers have little choice but to accept the price hikes, given the exceptional circumstances). We have seen no decline in demand in connection with price pass-throughs so far. However, it appears that advance ordering to secure inventories took place among mid-stream and downstream firms in March-May. Going forward, we will have to monitor the potential for a slowdown in demand among users (i.e., inventory adjustments), which would lead to lower sales and production cuts, and the potential for such a slowdown in demand to complicate the price negotiations now taking place. Of note, risks appear relatively high in markets where end-demand is not necessarily strong (e.g., housing and construction, materials for mid-range and low-end displays, and food).

Key stocks

Stocks to watch include Mitsubishi Gas Chemical and AGC. At Mitsubishi Gas Chemical, we expect equity-method gains to improve thanks to soaring methanol market prices. In BT materials, prospects look good for product-mix improvement (i.e., a lower weighting of commodity-grade products and a higher weighting of AI-related products) and for price rises. At AGC, the impact of the situation in the Middle East, previously a concern, now appears minimal (there seem to be no issues regarding raw materials procurement), and the growth story for the company's semiconductor-related operations is strengthening.

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Electronic Components

Price pass-through

In the electronic components sector, the rise in precious metal prices and energy costs that began in FY25 is putting downward pressure on margins. In response, many companies are taking a proactive stance toward passing on higher raw materials prices, given the end of the cycle and growing demand for various AI server-related components. Price pass-through notifications have already been issued for products such as MLCCs, analog & power semiconductors, and connectors, and we expect such price pass-throughs to go forward, albeit with a time lag. However, companies are currently reluctant to raise prices because of supply/demand tightness. Expectations for product price hikes (especially for MLCCs) are strong in the stock market, so we think the supply/demand environment and price-hike trends will continue to be a focus.

Price hike progress

Companies have not uniformly factored in the pass-through of higher precious metal and energy costs into initial guidance. However, Rohm, Hirose Electric, Niterra, and Taiyo Yuden have done so to some extent. Ibiden has also indicated that passing on component cost increases is feasible. Nichicon says that although it did not factor price pass-through into its initial guidance, negotiations are under way. We believe firms will steadily implement price hikes starting in FY26, although full contributions will likely not be felt until FY27, when prices are revised.

Key stocks

From the perspective of price pass-throughs, we highlight Rohm. Rohm's earnings have undershot consensus estimates since FY25 owing to rising gold prices, but we think that, thanks to price pass-through and progress in shifting to copper from gold in its products, the impact of raw materials costs will diminish sharply from FY27, helping to return profits to positive growth. From the perspective of price hikes, we highlight Ibiden. We do so for two reasons. First, a high proportion of its package substrate sales are server-related, an area where supply/demand is tight. Second, periods of tight supply/demand have historically led to price revisions, particularly for commodity products. From a supply/demand perspective, whether MLCC manufacturers decide to raise prices will remain a point to watch.

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Consumer & Industrial Electronics

Price pass-through

For some made-to-order products (e.g., social infrastructure-related equipment), price-adjustment clauses regarding raw materials prices and the like have, in many cases, been put into place in the wake of the inflationary trend seen in recent years, and we think that price pass-through on such products will be implemented smoothly. For mass-produced products (e.g., semiconductors, FA equipment, digital consumer electronics), companies generally intend to pass their cost increases on to customers, but we think that for reasons of competitiveness, they will be unable to raise prices on some of their products (e.g., power semis for industrial applications in the case of Fuji Electric), hurting productivity.

Price hike progress

In FA equipment, companies are already notifying customers of price hikes, and we expect progress in price pass-throughs heading into H2. In PCs, price pass-throughs are already being implemented. In semiconductors, we believe price pass-throughs of cost increases will begin shortly. However, memory prices continue to rise owing to supply-demand factors, and this is likely to continue through the April-June and July-September quarters (pushing up costs in other industries). In social infrastructure equipment, where many products are subject to price-adjustment clauses, price pass-throughs are likely to proceed smoothly.

Key stocks

We highlight Kioxia Holdings, where we expect the earnings cycle to stabilize thanks to rising memory prices and long-term agreements. We also highlight Mitsubishi Electric, which has a wealth of growth businesses (e.g., defense, power systems for data centers, optical semiconductors, and FA equipment), as well as Panasonic Holdings, which has a higher weighting of data center-related revenue than the sector average. Conversely, we have a Sell rating on Sharp, for which we forecast a significant YoY decline in OP in FY26, as we expect the pass-through of memory cost increases through PC and smartphone prices to trigger a drop in demand (combined, in the case of PCs, with a pullback in demand from a year-earlier spike).

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Precision Equipment & SPE

Price pass-through

Precision equipment manufacturers have noted cost increases on components such as DRAM and petrochemical-based materials (e.g., resins). Most companies plan to pass the bulk of these cost increases on to customers, but Canon is somewhat reluctant to raise prices on its printing products. Our estimates of the YoY impact of rising memory costs in either FY12/26 or FY3/27 are as follows: Canon ¥63.4 bn, Ricoh ¥20.0bn, Seiko Epson ¥10.0bn, Fujifilm Holdings ¥11.0bn, Nikon ¥7.5bn, Brother Industries ¥5.5bn, and Konica Minolta ¥2.0bn. SPE manufacturers have also begun expressing a desire to improve gross margins and revise prices.

Price hike progress

Fujifilm began passing on soaring silver prices in April. Ricoh has announced that it will revise domestic selling prices on copiers in August. Canon and Nikon similarly raised domestic prices for camera bodies in May and June. Tamron also raised domestic prices on some interchangeable lenses in April, although the primary objective of this was to close the gap between domestic and overseas prices. In SPE, Tokyo Electron stated on April 30 that it aims to raise its gross margin by 5ppt over the next two years; however, the company is not in a position to raise prices immediately, so the positive impact will likely materialize no earlier than FY3/27.

Key stocks

In the precision equipment sector, there are growing concerns about a decline in demand owing to rising DRAM costs and price pass-throughs. As a result, investors seem optimistic about Citizen Watch, for which the impact of such cost increases is limited. Conversely, Hoya is being shunned owing to its strong stated reluctance to raise prices on HDD substrates. Although we sense that SPE manufacturers are more willing to raise prices than before, their price hikes and their earnings impact are likely to be smaller than in such fields as memory, semiconductor materials, and electronic components, making them less attractive from a thematic perspective.

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Machinery

Price pass-through

In the machinery sector, a relatively large number of companies (particularly those with March FY-ends) have factored into their guidance negative impacts from higher raw materials costs and transportation expenses. Although many companies have a proactive stance toward price pass-throughs, we feel few have factored this into their guidance to a sufficient degree, so if they indeed do pass on cost increases, it could lead to guidance beats. We think that in general—but also depending on the strength (or weakness) of their industry positioning and the buying power of their customers—companies will have an easier time passing on cost increases in their B2B transactions. In addition, we think the extent and speed of price pass-throughs will vary by region, with implementation likely to be easier in the US. We note that to this point, there has been virtually no negative impact on the demand side as a result of capex demand starting to stagnate, nor supply constraints owing to difficulties in procuring raw materials.

Price hike progress

We think that FA-related firms are likely to make smooth progress in price pass-through given the current robust demand environment. In response to soaring raw material costs, Keyence raised prices by around 10% on certain products (e.g., sensors, measuring instruments, control equipment, and barcode readers), starting April 1. Conversely, THK and SMC have, in our view, adopted a somewhat more reluctant stance on raising prices than other FA-related firms. The construction machinery manufacturers Komatsu and Hitachi Construction Machinery have not fully factored planned future price hikes into their guidance. Both companies intend to implement price hikes while keeping an eye on the moves of competitors. So if they indeed do raise prices, it could lead to guidance beats.

Key stocks

The success (or failure) of price pass-through is likely to have a significant impact on the share prices of construction machinery manufacturers Komatsu and Hitachi Construction Machinery. For companies whose main customers are semiconductor-related firms, demand is robust, and the possibility of earnings undershooting as a result of price pass-through seems low. Our top sector pick is Amada. We think that, having acquired Via Mechanics (which develops, manufactures, and sells PCB and semiconductor packaging-related drills and laser processing equipment) in April 2025, Amada will benefit from increased semiconductor packaging investment, driven by AI semiconductor demand, and will thus experience rapid order and profit growth.

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Auto & Auto Parts

Price pass-through

In the auto sector, the environment is not conducive to price pass-throughs. This is because automakers have yet to make sufficient progress in raising prices in the US in response to tariffs, and because raw materials costs have soared. As a result, automakers are cautious about raising prices. Conversely, tire manufacturers have taken an aggressive stance on raising prices. Tires need to be replaced as they wear down, making it relatively easy to raise prices. As a result, tiremakers have been mostly able to absorb the impact of tariffs. Auto parts manufacturers operate under contracts with automakers, so in the case of materials whose prices have recently increased sharply (e.g., plastics and aluminum), they are able to pass on cost increases with a time lag of 3-6 months (one year in some cases, although this is the exception rather than the rule).

Price hike progress

The impact from price hikes that automakers have factored into their guidance is close to the level that merely corresponds to ordinary inflation, so few automakers can make the case that they have raised prices by enough to cope with tariffs or high raw materials prices. Basically, they are likely to increase prices gradually, coinciding with full model overhauls and minor model updates. In contrast, tire manufacturers are actively implementing price pass-throughs. Yokohama Rubber has announced domestic price increases, and a Tier 1 overseas tiremaker is now raising prices in the US.

Key stocks

We think tire stocks are more promising than auto stocks. In the initial phase of a surge in raw materials prices, valuations for Bridgestone (a Tier 1 tiremaker with strong price pass-through ability) tend to rise. Conversely, in the phase in which raw materials prices stop rising, the investment appeal of Yokohama Rubber, Toyo Tire, and Sumitomo Rubber Industries tends to increase, driven by expectations of late-game price hikes and spread improvement. It now appears that we are transitioning to the latter phase, although this will also depend on the situation in the Middle East. Automakers tend to have an easier time with price pass-throughs in motorcycles than in autos, etc., as motorcycles are more affordable and have lower running costs. For that reason, we also highlight Honda Motor and Yamaha Motor.

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Pharmaceutical and Biotech

Price pass-through

Sector companies are generally reluctant to raise prices, as the impact of cost increases is considered to be miniscule and prices in Japan are set by the government. Although prices in the US are increased annually in line with inflation, we think there is no evidence of sector companies adopting a new stance.

Price hike progress

Basically, no such efforts are being undertaken.

Key stocks

We highlight Otsuka Holdings, Chugai Pharmaceutical, Takeda Pharmaceutical, and Santen Pharmaceutical, as they have new drugs to drive growth and are not totally bereft of upcoming events that may act as drivers. For Otsuka, key factors include the growth potential of the new drug Voyxact, potential upward revisions at Q2 results, and the disclosure of Voyxact data. For Chugai Pharmaceutical, the key is Foundayo prescriptions in the US. While it may take some time, we expect Foundayo to turn into a blockbuster drug. For Takeda, points to watch include the approval of a new drug in August and the presentation on the medium-term plan by the new company president at the end of the year. For Santen, we are focusing on the sales trend for the blepharoptosis (drooping eyelid) treatment Upneeq.

Medical Equipment & Healthcare

Price pass-through

Although sector companies foresee negative impacts on some of their products, their general stance is to factor in increased costs rather than actual impacts. Price pass-throughs are potentially a positive factor for sector companies and their forecasts. In medical devices, Terumo is relatively proactive in its stance toward price pass-throughs. It has often increased prices before its global competitors have done so. Many other sector companies handle commoditized products, making it difficult for them to raise prices.

Key stocks

We view the two key stocks in our coverage as being Asahi Intecc (for strong earnings) and Terumo (for stable growth). We highlight Asahi Intecc because it has signaled that it will upwardly revise its medium-term plan when it reports Q4 results, and Terumo because the business restructuring conducted over the past two years is winding down and because of the prospects for stable growth.

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Food, Toiletries & Personal Care

Price pass-through

The consumer goods industry is facing multiple cost pressures, including soaring prices for raw materials (e.g., naphtha-derived packaging, palm oil, aluminum cans) and rising logistics costs. There is a growing likelihood that these cost increases will intensify from July-September, putting pressure on earnings. In light of this, many companies signaled, when reporting January-March earnings, that passing higher costs on to consumers is a near inevitability, and that they are actively considering doing so. However, the intensity of this stance varies by industry. There is a cautious stance toward further price hikes in the alcoholic beverage industry, where store prices for beer-like products are likely to decline following tax reforms in October, and in the soft drink industry, where there have been multiple price hikes in recent years.

Price hike progress

Concrete moves toward revising prices are underway among various companies. In the food industry, Kikkoman was the first to announce domestic price hikes, to start in September 2026. In daily essentials and cosmetics, the mainstream response to higher costs are de facto price increases, in which new products are priced higher than existing ones. In the soft drink industry, Coca-Cola Bottlers Japan has announced price hikes, to start this September, but only for a limited number of products, which suggests that the firm intends to cautiously observe consumer reaction. However, given that these products are daily necessities, price hikes will likely lead to short-term declines in demand and to downtrading, in which consumers switch to lower-priced alternatives. Moreover, these price adjustments are merely defensive measures intended to absorb cost-push pressures, so it is unlikely that they will lead to guidance-beating earnings.

Key stocks

In this environment, two stocks stand out to us as particularly attractive investments. The first is Ajinomoto. The company's strength lies in the stable earnings base provided by its seasonings business, which is particularly resistant to economic fluctuations. In addition, Ajinomoto's functional materials segment is well-positioned to benefit from robust AI-related demand. The second stock we highlight is Lifedrink. We think that as price hikes spread across the industry, the company's relatively low prices are likely to stand out even more as a competitive advantage. Like its industry peers, Lifedrink has signaled that it intends to raise prices, but we believe that by maintaining the price gap with national-brand competitors, the firm could lift its market share and exceed its sales projections.

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Telecommunications

Price pass-through

In the telecommunications sector, the three major carriers (NTT DoCoMo, KDDI, and SoftBank) began announcing inflation-driven rate revisions in FY3/26. However, we think the direct impact of these has been minimal. Rather than simple rate hikes, these are effective rate increases coupled with added value, and ARPU has started to trend higher again.

Price hike progress

NTT DoCoMo is introducing a new rate plan in June, and KDDI has announced rate revisions to go into effect in August (i.e., roughly the same timeframe). SoftBank plans to increase rates starting in July. There have been no major shifts in market share following these announcements, so we believe consumers are accepting the price hikes. Meanwhile, the mobile user base has reached near-complete saturation, and we think the major carriers have shifted to a strategy of retaining existing users rather than acquiring new ones. We think that if inflation persists, there could be further rate revisions and price hikes over the next several years.

Key stocks

The shift to raising domestic mobile rates is positive for the telecommunications sector. We highlight SoftBank and KDDI, as both were quick to articulate a strategy of focusing on the retention of existing customers and balancing revenue growth with profitability. We think that in a world of challenging subscriber growth, the key will be the ability to maintain and expand profitability by offering added value. We also highlight SoftBank, which has seen a significant increase in its NAV alongside a rise in the ARM share price.

Internet

Price pass-through

We believe sector companies are implementing price revisions as appropriate to offset cost increases driven by such factors as high energy prices and inflation (however, we think the direct impact of these is virtually nil). That said, pricing is often determined by supply and demand dynamics. Sector companies' stance on price pass-throughs can be described as neutral.

Price hike progress

E-commerce companies are delivering profitability by adjusting their thresholds for free shipping, with the goal of offsetting higher delivery costs. Rather than implementing unilateral price hikes, they are revising rates while keeping an eye on the competitive environment and supply/demand conditions. In online advertising, it remains the case that pricing is largely determined by media power and supply/demand. Meanwhile, SaaS companies are effectively raising rates by expanding services and increasing added value, and in accordance with the competitive environment. Although inflation is making price increases more acceptable, the impact is modest.

Key stocks

We highlight Recruit Holdings, a growth company fueled by price increases (increased added value is driving up unit prices for job ads). We also highlight CyberAgent, where earnings are strong, and Mercari, where high-value product transactions are on the rise thanks to the firm's authentication services.

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IT Services

Price pass-through

Recently, because of components shortages and the like, the need for price pass-throughs on products such as servers and PCs has been growing. This has given rise to concerns about the impact on companies that derive a high proportion of their sales from these products, like Fujitsu, NEC, and Biprog. While these companies have signaled an intent to actively pass on cost increases, it is unclear whether sales volume will decline or whether price pass-through will go smoothly.

Price hike progress

The degree to which price pass-through can be implemented on products that have either already been ordered or for which deals are already nearly finalized is uncertain. However, price increases are being quickly reflected in new orders. Sector companies are signaling that they intend to minimize the impact on margins. Demand for modernization and AI usage remains strong, and it appears that customers have little choice but to accept price hikes to some extent.

Key stocks

While sector companies' ability to raise prices without sacrificing margins is a positive, uncertainty remains regarding their ability to smoothly implement price hikes. Under such conditions, the stocks we highlight are Nomura Research Institute (NRI) and BayCurrent, both of which have a relatively low proportion of hardware sales and are benefiting from a robust demand environment, as well as Obic Business Consultants (OBC), which stands to gain as price hikes on servers prompt customers to transition from on-premises to cloud-based accounting systems.

At NRI and BayCurrent, demand is steady for digital transformation, including consulting related to AI implementation, and we believe these companies' vulnerability to component shortages is low. Meanwhile, rising server costs could drive a migration from companies that provide on-premises accounting systems to those that provide cloud-based accounting systems, such as OBC. The positive impact of this bears watching.

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Games & Leisure

Price pass-through

In the games sector, the impact of soaring component costs varies among companies depending on their business structure. Particularly vulnerable are companies such as Nintendo, which has a hardware business, and Bandai Namco, which manufactures and sells toys. In these conditions, Nintendo has decided to pivot away from its previous pricing strategy and raise prices, with a view to ensuring the profitability of the Nintendo Switch 2. Bandai Namco is highly likely to pursue price pass-throughs, particularly for products that target adults (such as Gundam plastic models and trading cards), demand for which is robust. Conversely, companies that primarily have software businesses, such as Capcom and Konami Group, have been hurt only marginally by rising component costs and are maintaining cautious stances regarding pricing strategy.

Price hike progress

Nintendo has announced a price increase for the Nintendo Switch 2 in response to rising component costs, particularly for chips. The price changes include raising the price of the Japan-only model from ¥49,980 to ¥59,980 (effective May 25) and the US price from \$449.99 to \$499.99 (effective September 1). We think a more robust pipeline of new software titles will be key to consumers accepting these new price levels. However, it is unclear if there is a risk of a fall in demand following the Switch 2 price hike. We expect the demand outlook to improve as the industry approaches the holiday shopping season, when game consumption picks up.

Key stocks

Looking at the games sector as a whole, we highlight software publishers over companies with hardware businesses. Topping our order of preference are Capcom and Konami Group. We believe the stock market will focus on the contribution to earnings of new titles and increased sales catalog titles (in the case of Capcom) and catalyst events such as the June-July FIFA World Cup (in the case of Konami).

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Real Estate, Housing, Housing Equipment, J-REITs

Price pass-through

In the real estate and housing sectors, prices for petrochemical-based construction materials have soared, but in part because of the characteristics of the sector, companies have not signaled that they will immediately raise prices. They are already raising prices to cope with increased construction costs and thus ensure profitability, and increases to office rents are primarily driven by supply/demand for leases. In the housing equipment sector, companies are being hurt directly by soaring raw materials costs, and they are signaling that they will pass on these higher costs.

Price hike progress

In the housing sector, companies (particularly B2C contractors) will likely have to absorb some of the cost increases themselves. Among B2B businesses, project yields are among the major factors determining prices, so the scope for price pass-throughs is specific to the company in question. In housing equipment, Lixil announced on May 18 that it will significantly (by roughly double digits) raise prices, starting with orders placed in August. We expect Toto too to pass on higher costs, basically to offset higher CoGS, although it has not yet announced price hikes for 2026.

Key stocks

In the housing sector, we highlight Daiwa House, which has built in a substantial buffer against the impact of the situation in the Middle East (i.e., against soaring CoGS and reduced sales). In the housing equipment sector, we are on the alert for downward revisions by Lixil and Toto. Lixil's FY3/27 guidance does not factor in the Middle East situation, and with prices for key raw materials like aluminum surging, we see an acute risk of a downward revision. Toto has factored in a roughly ¥7bn hit to profits in connection with the Middle East situation, but there is still downside risk, depending on how events unfold. In addition, any delay in announcing price hikes would likely heighten concerns about a profit recovery in FY3/28.

Figure 25. Coverage companies mentioned in this report

Ticker	Company Name	Analyst Name	Rating	Price (JPY) as of 6/16
1925	Daiwa House	Masashi Miki, CFA	Neutral	4,346
2579	Coca-Cola Bottlers Japan Holdings	Hiroki Watanabe	Buy	3,723
2585	Lifedrink	Hiroki Watanabe	Buy / HR	1,633
2801	Kikkoman	Hiroki Watanabe	Neutral	1,579
2802	Ajinomoto	Hiroki Watanabe	Buy	5,146
285A	Kioxia Holdings	Takero Fujiwara	Buy / HR	94,720
4062	Ibiden	Takayuki Naito	Buy	22,445
4182	Mitsubishi Gas Chemical	Yuta Nishiyama	Buy	5,090
4307	Nomura Research Institute	Moriya Koketsu	Buy	4,505
4385	Mercari	Keiichi Yoneshima	Neutral	3,768
4502	Takeda Pharmaceutical	Hidemaru Yamaguchi	Buy	5,020
4519	Chugai Pharmaceutical	Hidemaru Yamaguchi	Buy	7,523
4536	Santen Pharmaceutical	Hidemaru Yamaguchi	Buy	1,920
4543	Terumo	Hidemaru Yamaguchi	Buy	2,220
4578	Otsuka Holdings	Hidemaru Yamaguchi	Buy	10,360
4733	Obic Business Consultants	Moriya Koketsu	Buy	5,841
4751	CyberAgent	Keiichi Yoneshima	Buy	1,334
4901	Fujifilm Holdings	Masahiro Shibano	Buy	3,379
4902	Konica Minolta	Masahiro Shibano	Neutral	588
5101	Yokohama Rubber	Arifumi Yoshida	Buy	7,830
5105	Toyo Tire	Arifumi Yoshida	Buy	3,846
5108	Bridgestone	Arifumi Yoshida	Neutral	3,478
5110	Sumitomo Rubber Industries	Arifumi Yoshida	Buy	2,269
5201	AGC	Yuta Nishiyama	Neutral	7,270
5332	Toto	Masashi Miki, CFA	Buy	8,144
5334	Niterra	Takayuki Naito	Neutral	10,315
5938	LIXIL	Masashi Miki, CFA	Neutral	1,736
6098	Recruit Holdings	Keiichi Yoneshima	Buy	10,750
6113	Amada	Takahiro Inoue	Buy	3,065
6273	SMC	Graeme McDonald	Buy	69,030
6301	Komatsu	Graeme McDonald	Neutral	6,650
6305	Hitachi Construction Machinery	Graeme McDonald	Neutral	5,419
6448	Brother Industries	Masahiro Shibano	Neutral	3,770
6481	THK	Graeme McDonald	Buy	7,530
6503	Mitsubishi Electric	Masahiro Shibano	Buy	5,872
6504	Fuji Electric	Takero Fujiwara	Buy	14,375
6532	BayCurrent	Moriya Koketsu	Buy	5,530
6701	NEC	Masahiro Shibano	Buy	3,849
6702	Fujitsu	Masahiro Shibano	Buy	3,276
6724	Seiko Epson	Masahiro Shibano	Neutral	2,807
6752	Panasonic Holdings	Masahiro Shibano	Buy	4,079
6753	Sharp	Takero Fujiwara	Sell	594
6806	Hirose Electric	Takayuki Naito	Neutral	28,205
6861	Keyence	Graeme McDonald	Neutral	75,500
6963	Rohm	Takayuki Naito	Buy	5,069
6976	Taiyo Yuden	Takayuki Naito	Sell	20,190
6996	Nichicon	Takayuki Naito	Buy	4,200
7267	Honda Motor	Arifumi Yoshida	Buy	1,439
7272	Yamaha Motor	Arifumi Yoshida	Neutral	1,222
7731	Nikon	Masahiro Shibano	Sell	2,100
7740	Tamron	Masahiro Shibano	Neutral	1,033
7741	Hoya	Masahiro Shibano	Buy	27,065
7747	Asahi Intecc	Hidemaru Yamaguchi	Buy	3,559
7751	Canon	Masahiro Shibano	Buy	4,306
7752	Ricoh	Masahiro Shibano	Sell	1,463
7762	Citizen Watch	Masahiro Shibano	Neutral	2,363
7832	Bandai Namco Holdings	Tokiya Baba	Buy	3,589
7974	Nintendo	Tokiya Baba	Buy	7,218
8035	Tokyo Electron	Masahiro Shibano	Buy	70,860
8056	Biprog	Moriya Koketsu	Buy	4,278
9432	NTT Inc	Keiichi Yoneshima	Neutral	146
9433	KDDI	Keiichi Yoneshima	Neutral	2,715
9434	SoftBank Corp.	Keiichi Yoneshima	Buy	212
9697	Capcom	Tokiya Baba	Buy	2,824
9766	Konami Group	Tokiya Baba	Buy	19,060
9984	SoftBank Group	Keiichi Yoneshima	Buy / HR	7,102

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Note: Share prices as of the close on the date noted above.

Source: Citi Research, Bloomberg

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Appendix A-1

ANALYST CERTIFICATION

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IMPORTANT DISCLOSURES

Hiroki Watanabe, Analyst, holds a long position in the securities of NTT Inc.

Keiichi Yoneshima, Analyst, holds a long position in the securities of LIXIL, Takeda Pharmaceutical.

A member of the household of Keiichi Yoneshima, Analyst, holds a long position in the securities of AGC.

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